

SRH

Sunrisers Hyderabad: how to win now at the IPL 2027 auction and set up for the 2028 reset

Squad strategy, purse allocation and bid ceilings, built from 295,732 deliveries and five years of auction prices

Cut Rs 67 cr of low-return contracts, fix the all-rounder gap with value buys, and keep firepower for the 2028 mega-auction

1

Release what the output does not justify

15 releases free Rs 67 cr. The biggest contracts in the squad deliver below-average impact; the purse goes further on output the market underprices.

2

Buy for the gaps, not the names

Red: all-rounder; Amber: wrist spinner, finger spinner. 15 targets, each with a bid ceiling and a cheaper backup in the same role.

3

2027 is a bridge year

It is the last season of the 2025-27 cycle. One-year value veterans now; the real rebuild happens in the 2028 mega-auction, when every franchise resets its purse.

60% to 62%

playoff chance, current squad vs plan

Rs 94 cr

purse used of Rs 125 cr

+Rs 26 cr

expected operating profit, mostly lower wages

80%

of revenue is fixed central income

Sunrisers Hyderabad finished 1th in 2026 with Rs 5.5 cr left and no overseas slots: any upgrade has to be funded by releases

#	Team	W	Pts
1	SRH	9	18
2	RCB	9	18
3	GT	9	18
4	RR	8	16
5	PBKS	7	15
6	DC	7	14
7	KKR	6	13
8	CSK	6	12
9	MI	4	8
10	LSG	4	8

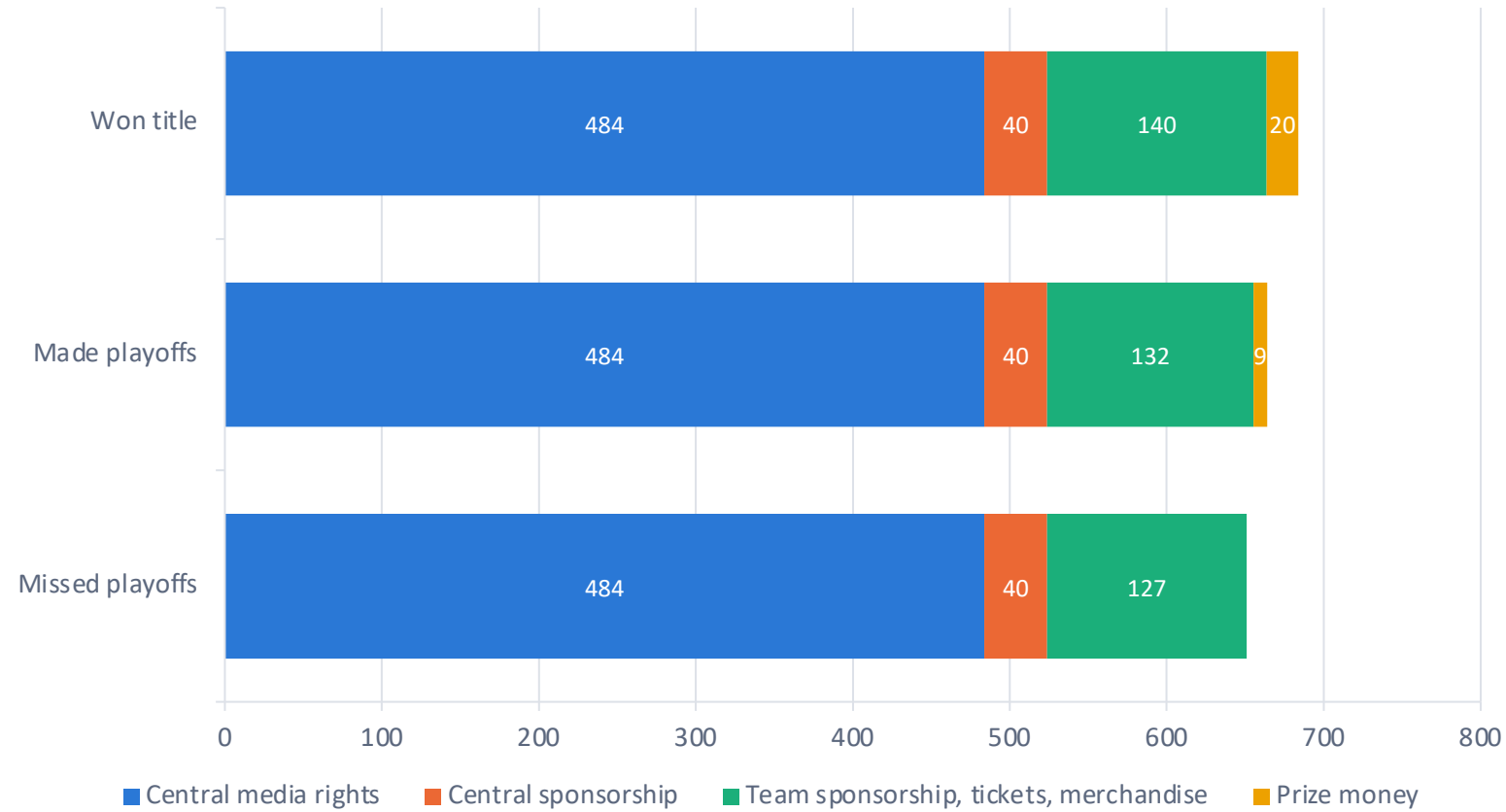
2026 league stage (net run rate not shown)

Key question

How should Sunrisers Hyderabad rebuild its squad and allocate its purse for the IPL 2027 auction to maximise wins and commercial value?

- 1 How does the franchise make money?
- 2 What actually wins IPL matches?
- 3 Where does the auction misprice players?
- 4 Where is our squad weak?
- 5 What is the best squad we can afford?
- 6 What exactly should we do?
- 7 What is it worth?

80% of revenue is fixed central income: a title adds only Rs 33 cr, so cost discipline matters as much as winning



Rs 651 cr

revenue if the team misses the playoffs

+Rs 33 cr

extra revenue from winning the title

Rs 374 cr

operating profit (before any franchise fee)

Source: Media rights Rs 48,390 cr 2023-27; Tata title sponsorship; Houlihan Lokey 2025 brand values; BCCI 2026 prize money; team assumptions (see Excel model)

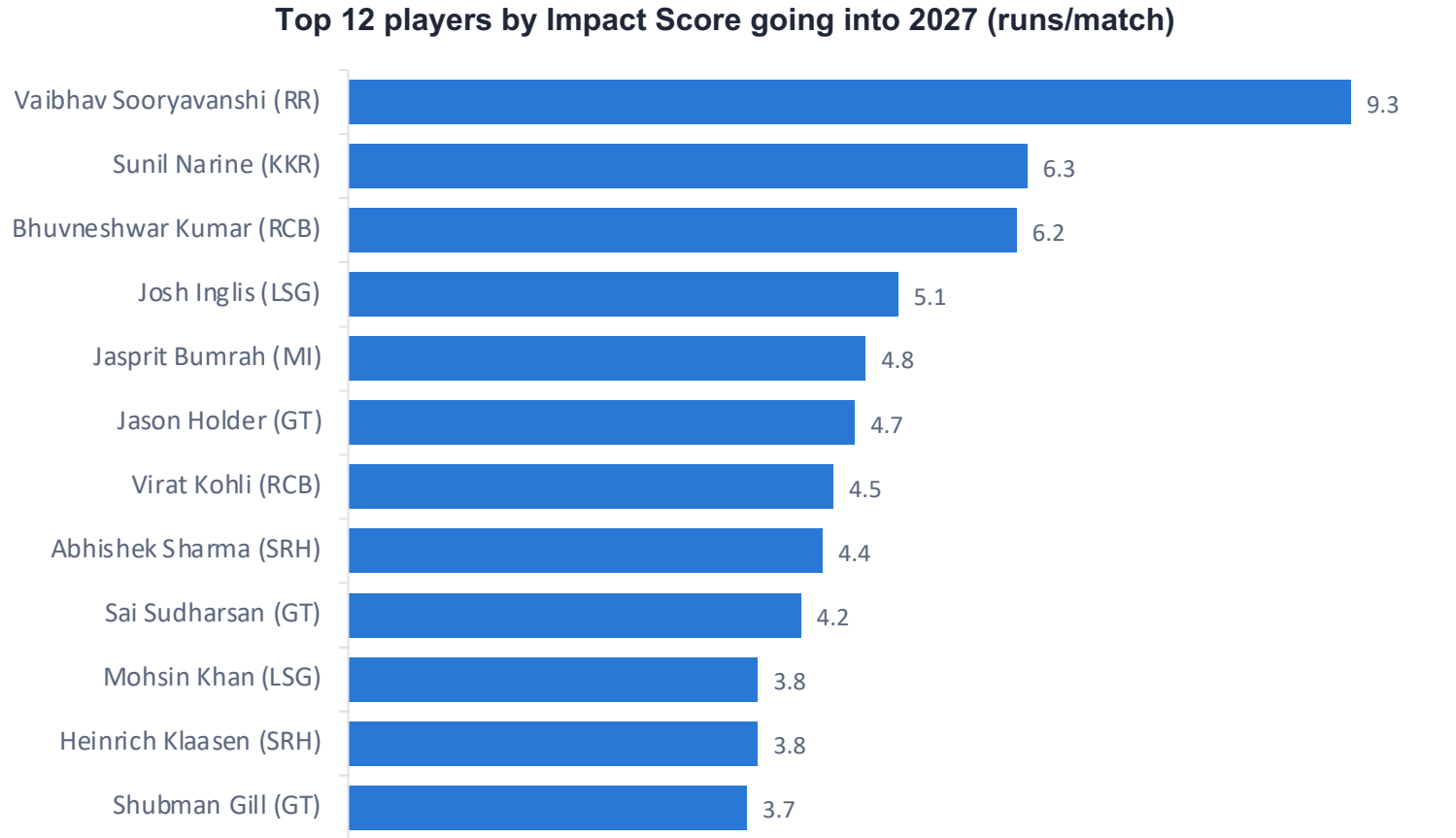
Runs added versus an average player explain 53% of win %; early wickets are worth 7x late ones



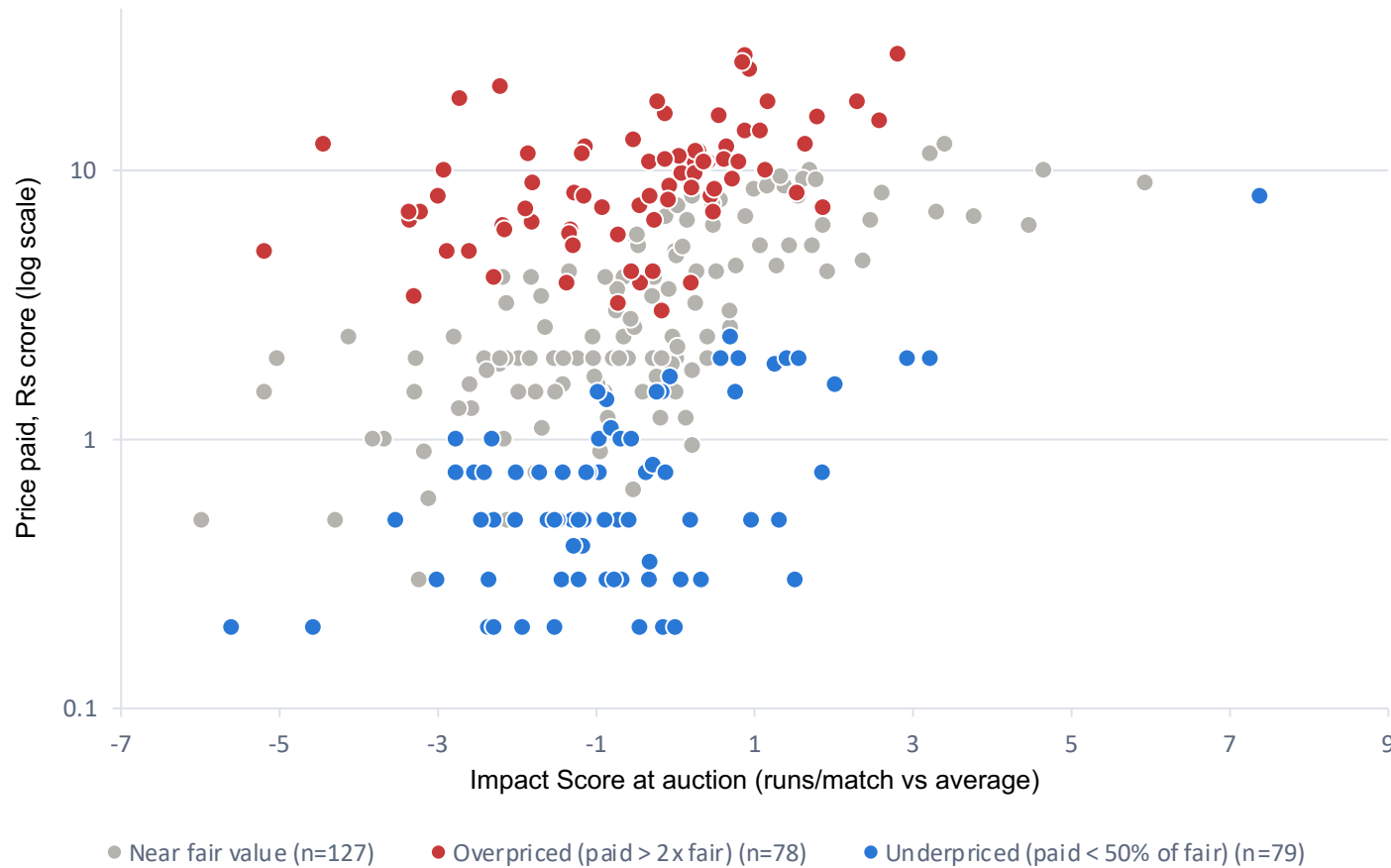
Impact Score, in one sentence: the runs a player adds per match compared with a league-average player in the same phase and season.

Validated: a team's same-season total impact explains 53% of the variation in win % (+10 runs/match = about +7 points of win %).

Caveat: only 45% of a planned strength gain shows up the next season.



The auction pays for reputation: a cap adds 157% to price, output only 24% per run, so specialists are mispriced



1

Wrist spinners are the market's best value: they sell for 17% below fair value (median, n=17), while anchors sell for 2.5x fair value (n=24).

2

Powerplay specialists sell for 18% below fair value, vs death specialists who sell for 1.3x fair value (n=96 / 102).

3

Output is only part of the price: +1 run/match of impact adds 24% to price, but an international cap adds 157%; impact and profile explain just 30% of price variation.

Sunrisers Hyderabad has 1 Red and 2 Amber roles: all-rounder, wrist spinner, finger spinner are where the purse should go

Role	Need	Status	Our k-th best vs league	Players in squad
Opener	2	Green	#2 opener ranks 14 of 29 in the league (starter = top 20)	Abhishek Sharma, TM Head
Anchor	1	Green	Best anchor ranks 5 of 26 in the league (starter = top 10)	Ishan Kishan
Middle-order	1	Green	Best middle-order ranks 1 of 14 in the league (starter = top 10)	H Klaasen, Nithish Kumar Reddy
Finisher	2	Green	#2 finisher ranks 11 of 30 in the league (starter = top 20)	Aniket Verma, PJ Cummins, LS Livingstone
Wicketkeeper	1	Green	Best wicketkeeper ranks 2 of 32 in the league (starter = top 10)	H Klaasen, Ishan Kishan, Nithish Kumar Reddy
Powerplay pacer	2	Green	#2 powerplay pacer ranks 15 of 42 in the league (starter = top 20)	PJ Cummins, JD Unadkat, Nithish Kumar Reddy
Death pacer	2	Green	#2 death pacer ranks 9 of 33 in the league (starter = top 20)	E Malinga, Sakib Hussain, PP Hinge
Wrist spinner	1	Amber	Best wrist spinner ranks 14 of 15 in the league (starter = top 10)	Zeeshan Ansari
Finger spinner	1	Amber	Best finger spinner ranks 14 of 24 in the league (starter = top 10)	LS Livingstone, Abhishek Sharma, Harsh Dubey
All-rounder	1	Red	Only 0 of 1 needed all-rounder(s) in the squad	None

Status cells are coloured and labelled. Venue: Rajiv Gandhi Intl Stadium, Hyderabad adjusts spin, pace and death weights in the optimiser.

Strategy: Win Now, with three moves for 2027 and the big rebuild held back for 2028

1

Free the purse

Release 15 players (Rs 67 cr) whose salary sits well above what their output justifies.

Wage bill falls from Rs 120 cr to Rs 94 cr

2

Fix the gaps

Spend first on all-rounder, wrist spinner, finger spinner; every target has a walk-away ceiling and a backup.

15 targets, 5 of them starters

3

Bridge to 2028

Prefer one-year value veterans over long, expensive bets: the 2028 mega-auction resets every squad.

Mega-auction plan lifts playoff odds to 68%

Why this stance: Made the 2026 playoffs (finished #1); protect the window. **Home ground:** Rajiv Gandhi Intl Stadium, Hyderabad; its spin, pace and death-over profile adjusts the role weights.

Buy 15 targets, led by Moeen Ali (finger spinner) and Karn Sharma (wrist spinner) for the gaps; retain 10, release 15

Buy target	Role	Impact	Fair value	Ceiling	Likely price	Backup option
Jonny Bairstow	Opener	+2.0	Rs 5.2 cr	Rs 5.2 cr	Rs 6.5 cr	Jake Fraser-McGurk
Moeen Ali	Finger spinner	+1.0	Rs 4.1 cr	Rs 4.3 cr	Rs 5.6 cr	Maheesh Theekshana
Mahipal Lomror	Utility	+0.1	Rs 1.2 cr	Rs 1.2 cr	Rs 1.5 cr	none within ceiling - prioritise this bid
Karn Sharma	Wrist spinner	+0.1	Rs 3.1 cr	Rs 3.2 cr	Rs 1.7 cr	Rahul Chahar
Rasikh Salam	Death pacer	+0.0	Rs 1.2 cr	Rs 1.2 cr	Rs 2.2 cr	Sandeep Sharma
Yash Dayal	Powerplay pacer	-0.2	Rs 1.1 cr	Rs 1.1 cr	Rs 2.0 cr	Simarjeet Singh
Naman Dhir	Finisher	-0.3	Rs 1.1 cr	Rs 1.1 cr	Rs 2.0 cr	none within ceiling - prioritise this bid
MS Dhoni	Finisher	-0.4	Rs 1.1 cr	Rs 1.1 cr	Rs 1.8 cr	none within ceiling - prioritise this bid

Ceiling = fair value + premium for gap-filling roles (+15% Red, +5% Amber). Where the likely price is above the ceiling, bid only to the ceiling and move to the backup.

Release (largest salaries)

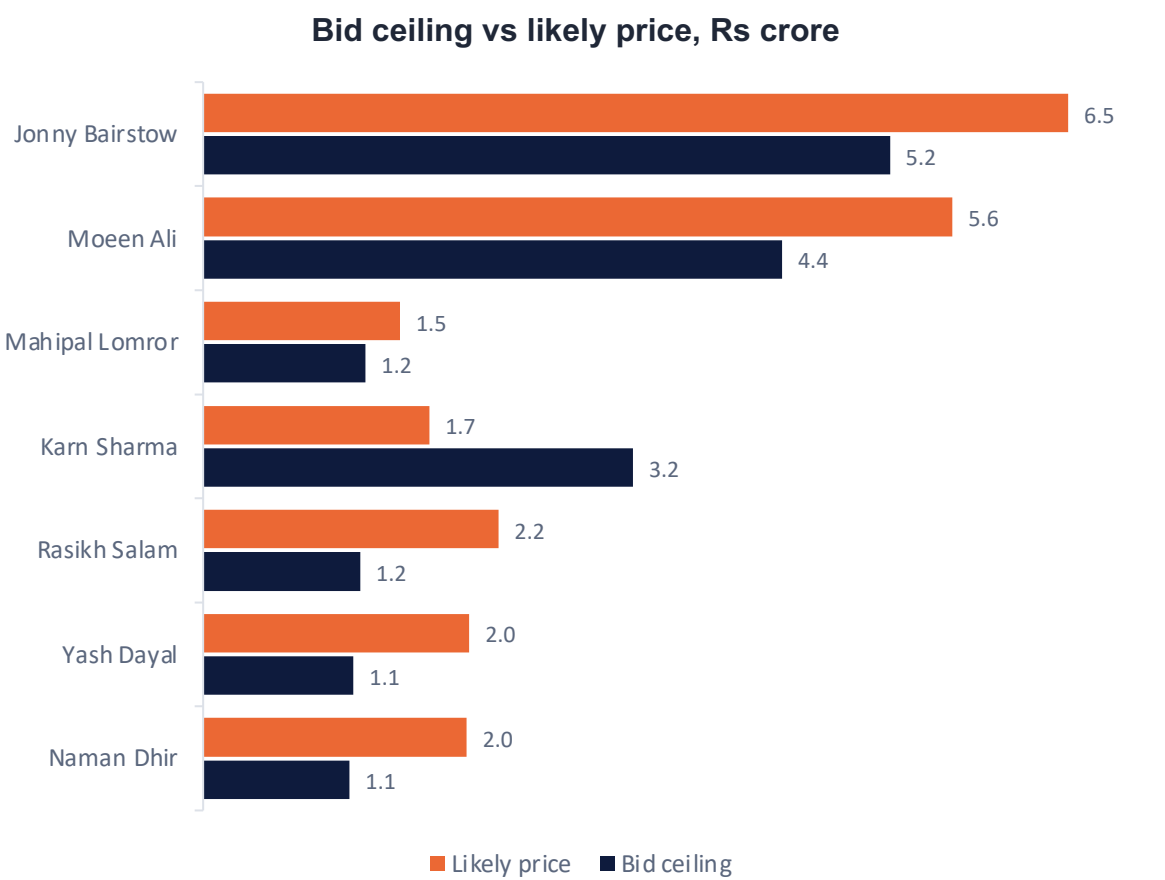
Pat Cummins (Rs 18.0 cr)
Travis Head (Rs 14.0 cr)
Liam Livingstone (Rs 13.0 cr)
Harshal Patel (Rs 8.0 cr)
Nitish Kumar Reddy (Rs 6.0 cr)

Retain (highest impact)

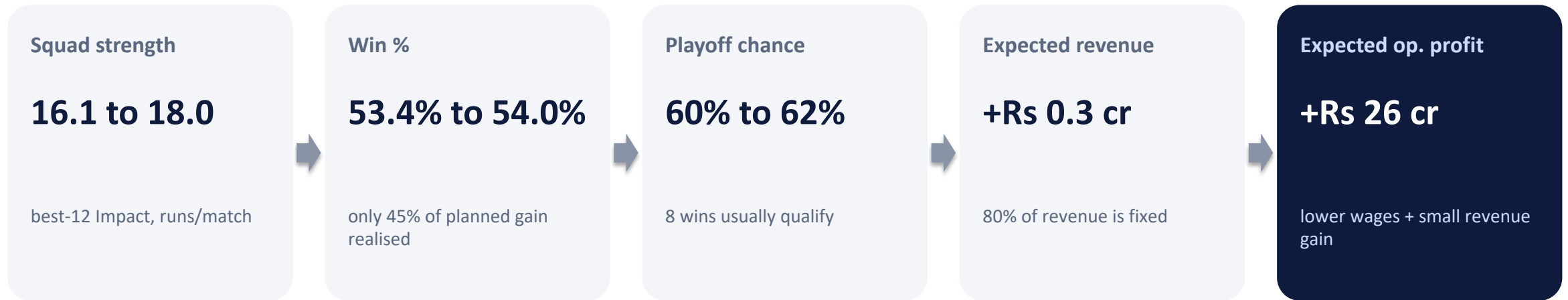
Abhishek Sharma (+4.3)
Heinrich Klaasen (+3.8)
Ishan Kishan (+2.3)
Eshan Malinga (+2.1)
Sakib Hussain (+1.4)

The plan is robust: at +30% rival bidding the squad strength holds at 18.0 and playoff odds stay near 62%

Scenario	Purse used	Buys	Strength	Playoff chance
Win Now @ +10%	Rs 94.0 cr	15	18.0	62%
Win Now @ +20%	Rs 93.8 cr	13	18.0	62%
Win Now @ +30%	Rs 93.8 cr	12	18.0	62%
Long-Term @ +10%	Rs 106.2 cr	14	19.8	63%
Long-Term @ +20%	Rs 109.8 cr	14	19.8	63%
Long-Term @ +30%	Rs 113.4 cr	14	19.8	63%



Expected impact: playoff odds 60% to 62% and +Rs 26 cr expected profit, most of it from a leaner wage bill



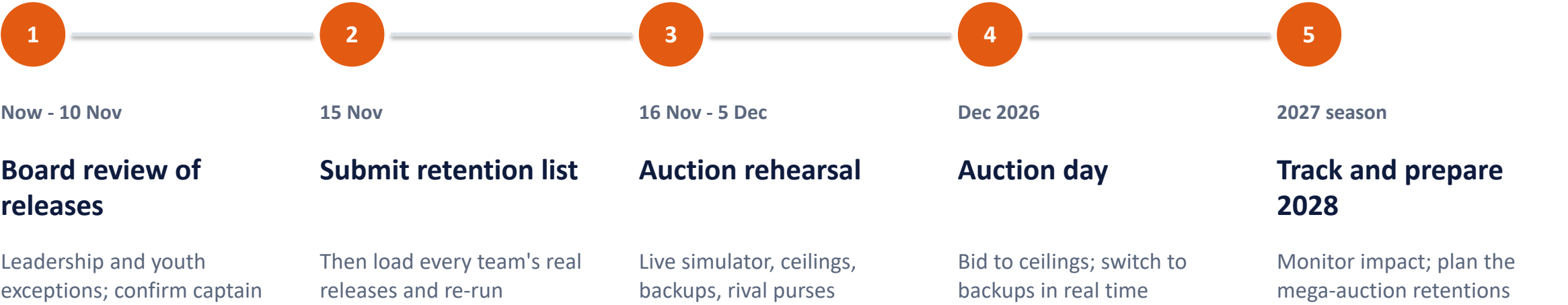
Mega-auction 2028: with the whole league back in the pool, the same method lifts playoff odds to 68% (strength 16.1 to 26.0).

Read with care: the profit gain is mostly salary saved; revenue barely moves because central income dominates.

Five risks to manage: model blind spots on leadership and youth matter most

Risk	Mitigation
Leadership and brand value are not in the model	Review high-profile releases (e.g. Pat Cummins) with the board; keep the captain even at a premium.
Young players look weak on small samples	Shrinkage under-rates breakouts: keep one high-upside youngster as a development bet.
Bidding wars push prices past our ceilings	Hard walk-away ceilings; pre-agreed backups in the same role; plan tested at +30% inflation.
Projected releases may not happen	Several targets depend on rivals releasing them on 15 Nov; re-run the optimiser on the real lists.
Veterans and overseas availability	Age 35+ and international clashes: favour one-year deals and carry a like-for-like Indian backup.

Next steps: lock retentions by 15 November, then rehearse the auction against live rival lists



Appendix: every method is simple enough to explain in one sentence, and every assumption is flagged

Component	Method in one sentence	Main limitation
Impact Score	Runs added per match vs an average player in the same phase/season; wickets valued by run expectancy; small samples shrunk	Ignores fielding, captaincy, opposition
Fair value	Typical price for the same output, cap status and year (log-price regression, R^2 0.30)	Bidding dynamics; unsold players missing
Likely price	Fair-value model plus previous contract as a reputation proxy (R^2 0.38)	Reputation proxy is crude
Role gaps	League rank of the squad's k-th best player per data-driven role (Green / Amber / Red)	Thresholds are judgement calls
Optimiser	Integer program: best-12 value within purse, squad, overseas and role rules	Rivals do not react
Impact chain	Strength to win % (R^2 0.53), realisation factor, binomial playoff odds, weighted P&L	Next-season forecasts are noisy
Key assumptions	2027 purse Rs 125 cr (unannounced); 2028 rules = 2025 framework; 50% central-revenue share	Update when BCCI announces